Incremental Gearing

The incremental gearing ratio attempts to determine the additional borrowings required to finance growth. To an extent this ratio is similar to the net working investments ratio. The ratio is calculated by dividing the net increase in debt by the increase in net income after tax but before dividend:

$$\text{Incremental gearing} = \frac{\text{Net increase in debt}}{\text{Increase in net income after tax but before dividend}}$$

Illustration

The financials of Raman Tea Ltd. were as follows:

	Previous Year	Latest Year
	Rs. 00s	*Rs. 00s*
Net income before tax	300	400
Taxation	50	75
	250	325
Borrowings	400	480

$$\text{The incremental gearing is: } \frac{0.5 \times (480\text{–}400)}{75} = 75$$

For every Re. 1 used to finance growth, net income would increase by Rs. 75. That is a very high dependence.